

STATE OF COLORADO

DIVISION OF MINERALS AND GEOLOGY

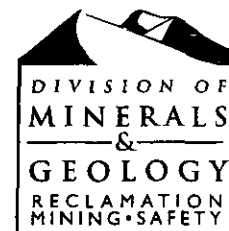
Department of Natural Resources

1313 Sherman St., Room 215

Denver, Colorado 80203

Phone: (303) 866-3567

FAX: (303) 832-8106

Bill Owens
GovernorGreg E. Walcher
Executive DirectorRonald W. Cattany
Acting Division Director

January 8, 2003

Mr. Steve Mossberg
CEMEX
P.O. Box 529
Lyons, CO 80540RE: CEMEX, Inc., Lyons Mine, Permit No. M-1977-208
Reclamation Cost for Demolition of the Cement Plant

Dear Mr. Mossberg,

The Division received your letter dated January 3, 2003 regarding the issue of estimating a cost for reclamation of the cement plant at the Lyons Mine, Permit No. M-1977-208. CEMEX has requested to estimate the cost for reclamation using in-house engineers and engineering consultants to assess the cost of the reclamation. The Division will grant this request with a submittal date of April 3, 2003.

Please keep in mind that a revision to the Lyons permit may be required if any portion of the facility is to be disposed of on site (superstructure and/or concrete disposal), or if any portion of the facility is to remain as part of the post-mining land use. I am not aware that burial of structures within the permit area has been approved in the past. In general, the permit would need to reflect the nature of the demolished material to be buried on site, the disposal location, cover depth, and revegetation.

If you have any questions, please do not hesitate to contact me at 303-866-4943.

Sincerely,


Erica S. Crosby
Environmental Protection Specialist

cc: Carl Mount; DMG